

Unit 2

KEMENTERIAN PENDIDIKAN, KEBUDAYAAN, RISET, DAN TEKNOLOGI
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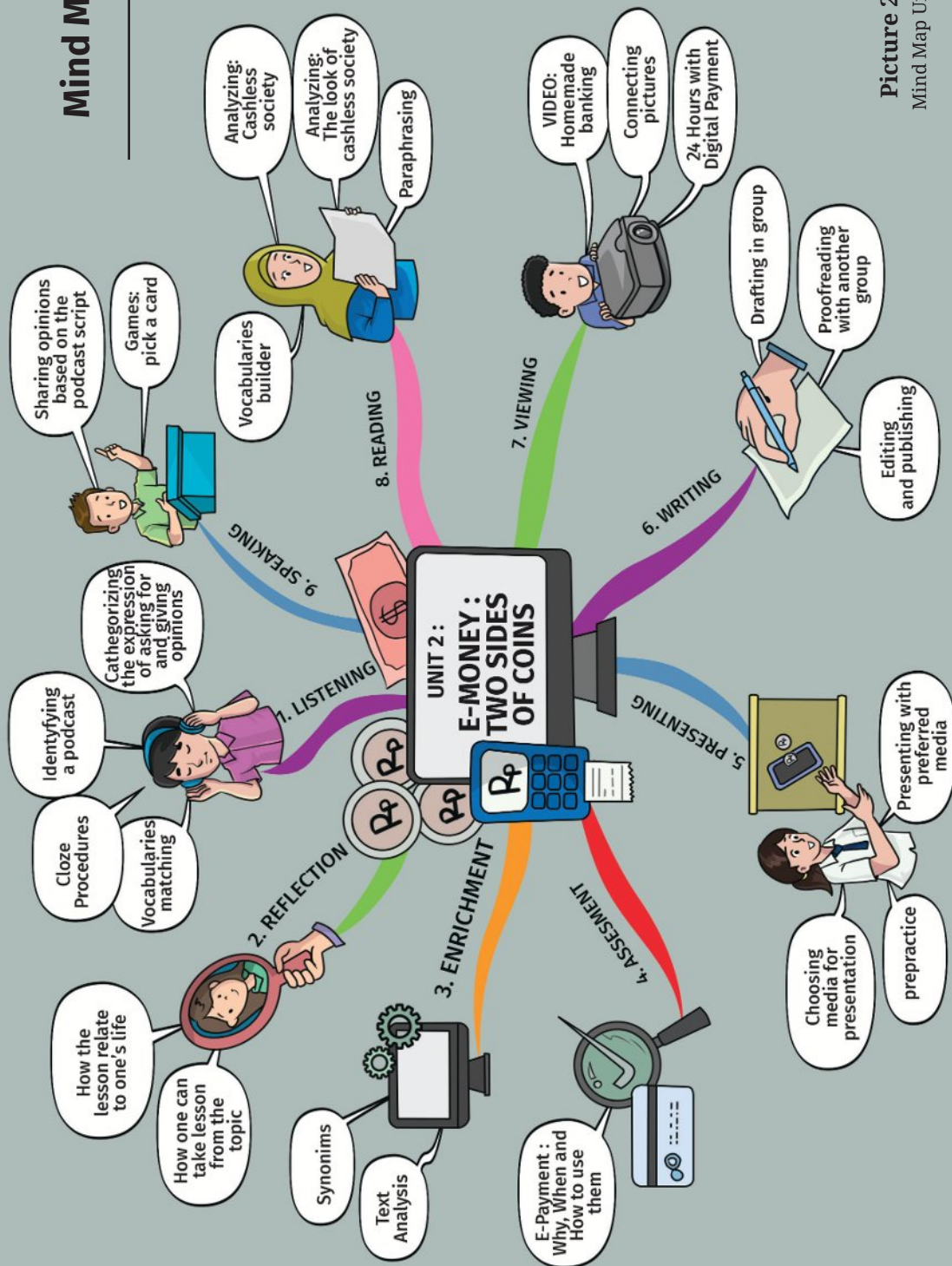
Argumentative Text: E-Money

Learning Goals:

By the end of this unit, you are expected to be able to:

1. Identify the communicative purposes and schematic structures of an argumentative text
2. Identify the language features of argumentative text: the expressions of asking and giving opinions
3. State explicit and implicit information (main ideas and detailed information) from an argumentative text
4. Write an argumentative text with appropriate schematic structures and language features
5. Perform an argumentative text in a form of a preferred media using the expressions of asking and giving opinions in focus

Mind Map



Picture 2.1
Mind Map Unit 2



Did You Know?



Picture 2.2 Laszlo Hanyecz

The first transaction of virtual currency was made on 22nd May 2010. A customer named Laszlo Hanyecz, a Florida-based programmer working for online retail company GoRuck in the United States of America, paid 10,000 BTC to buy two Papa John's Pizzas. Ever since the fateful first-ever recorded transaction of Bitcoin for a physical good, the use case for the currency has taken off, with customers now able to use Bitcoin for real estate deals, online shopping, airplane bookings and, of course, pizza.

Source: Molly Jane Zuckerman / Cointelegraph



Listening

Activity 1

Observe the picture carefully.



In pairs, discuss and answer the questions

1. Explain what is happening in the two pictures.
2. Do you prefer to use cash or electronic money for purchasing? Why?



Picture 2.3 Cash transaction



Picture 2.4 Digital transaction

Activity 2

Vocabularies to learn

Before you listen to the audio, here are some phrases you may need to understand first. Match the phrases and their meanings or you can find the pairs digitally by clicking the link provided or scan the barcode.

A

a type of electronic card which is used for transactions made online through a computer or a smartphone

B

to avoid something

C

a machine-readable code consisting of an array of black and white squares, typically used for storing URLs or other information for reading by the camera on a smartphone.

D

make a quick, nervous movement as an instinctive reaction to fear, pain, or surprise



- ☐ 1. QR code (Noun)
- ☐ 2. deduct (Verb)
- ☐ 3. e-wallet (Noun)
- ☐ 4. fumbling (Noun)
- ☐ 5. e-payments (Noun)
- ☐ 6. siphoned off (Verb)
- ☐ 7. e-commerce platforms (Verb)
- ☐ 8. flinch (Verb)
- ☐ 9. cash-based (Noun)
- ☐ 10. cashless (Adjective)
- ☐ 11. shun (Verb)
- ☐ 12. lagging (noun)

E

using or operating with credit and debit cards and electronic systems, not money in the form of coins or notes

F

used to describe investments, financial products, etc. that involve money rather than shares, bonds, etc

G

electronic payments for transactions made on the Internet.

H

to dishonestly take money from an organization or other supply, and use it for a purpose for which it was not intended

I

doing something awkwardly, especially when using your hands

J

moving or making progress so slowly that you are behind other people or things

K

subtract or take away (an amount or part) from a total

L

the buying and selling of goods and services, or the transmitting of funds or data, over an electronic network

Vocabulary Source:

<https://www.bbc.com/future/article/20191204-does-e-money-make-you-spend-more>



Scan the following QR Code or visit
<https://learningapps.org/watch?v=pd136p8u522>
to access the learningapps

Activity 3

Listen to La-Ode's podcast interviewing Sri, a social media influencer, about E-Money as a means for online purchasing.

Activity 4

Now, you listen to the recording again, while you are listening, try to fill in the blanks. Check your answers with your teacher after you finish filling in the blanks.

Listen to La-Ode's podcast interviewing Sri, a social media influencer, about E-Money as a means for online purchasing.

One morning, in a Library Cafe, La Ode is interviewing Sri, a social media influencer.

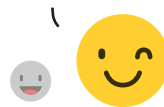
"Hello guys. This is La-Ode, greeting you again from our podcast studio. Today is so special because I am interviewing a young famous social media influencer. Let's meet our guest, Sri."



"Hi Sri, How are you doing?"



"Hi bro.,I am good."



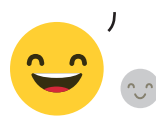
"I heard your social account has reached more than 700K."



"Thanks."



"I feel happy for you."



“Thank you again. It’s a blessing in disguise since it was pandemic two years ago. People have bought things online. My social media account was nearly just for my personal needs.”



“Okay. you are invited to share your experience dealing with ...(1)... platforms. Can you tell us how you came up with the idea of selling products online using your social media account and shifting from cash-based to cashless society?”



“Well, let me start from the reason why I decided to start my online shop. Back then, I have a memory as a girl, saving my pocket money by placing it in a special rooster piggy bank, the silver rupiah coins collected into a pile full of coins. Did you know?”



“Yeahhh.I used to place coins in it.”



“Then, I got my first debit card when I was 20. Later, I saved up money for a gap year, by working as a sales promotion girl in a supermarket, and I put the money into a savings account.”



“So how did you make up your mind by starting your online shop?”



“Let me go on. Fast forward to 2019, I resigned as a sales promotion girl and tried my luck to sell things online as I started to have many followers in my social media account. “



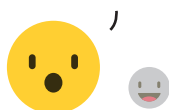
“I see.”



“As far as I know, at that moment, some people were familiar with cashless. Sometimes, they use smartphones for payment with a QR code.”



“Do you know how QR codes work?”



“Yes, I do. I learned it from a friend who works in a bank. He told me that once the QR codes are scanned, the online system would immediately ...(2)... the exact amount owed from the payer’s ...(3)... No ...(4)... for cash and waiting for change. No swipe of a plastic card either. The transaction would take seconds.”



“So, what do you think about their habits?”



“Frankly speaking, I was tempted. But there were a couple of reasons why I kept using physical money and avoided getting into ...(5)... and e-wallets.”



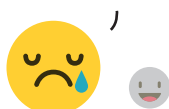
“What are the reasons?”



“Firstly, I felt it was safer. I wasn’t really aware of how electronic money would work on my smartphone and I feared it would somehow get easily ...(6)... off. Having physical cash just felt safer.”



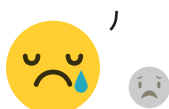
“You think so huh? I was ...(7)... once the e-money got siphoned off.”



“It did?!”



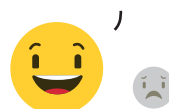
“Yes, even It took me more time to get back using the e-wallet.”



“That’s horrible.”



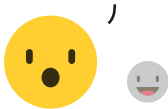
“Okay, tell me more about the story.”



“I feared that by moving to electronic payments and losing the greater friction of paying with cash, I would end up spending more.”



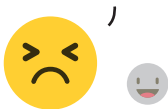
“Yes, absolutely. It feels like we are losing physical transactions.”



“It’s weird, huh?! Do you think these fears are justified? As more and more people across the world ...(8)... cash, these are essential issues to consider.”



“Yes, they are. Yet, if we keep using cash, it seems that we are ...(9)... behind.”



“That’s the point. For people who live in these increasingly cashless societies, the benefits of electronic payment are obvious.”



“What do you mean?”



“It’s very convenient. And this is the reason I started my online shop. So, to me, it is like living in a world where you get all the benefits of spending, without the pain of paying.”



“Yes, I can see that your online shop is emerging and getting big. I can sum up that as more societies move from ...(10)... to cashless, the way we spend might change.”



“It does change. And not to forget that money will remain a governing force in the lives of humans.”



“What an experience! That was a wise closing statement. Well, I am sure this is the end of our podcast everyone. Congratulations to you, hope your e-commerce platforms will inspire other young entrepreneurs out there. Keep inspiring!”



“Thank you friend. It’s a pleasure to get invited to your podcast. Good luck to you too.”



“Okay guys. I’ll see you when I see you. Bye.”



Adapted from: <https://www.bbc.com/future/article/20191204-does-e-money-make-you-spend-more>

Activity 5



With your partner, answer the following questions after you listen to the podcast.

1. What are La Ode and Sri talking about?
2. What is Sri's profession?
3. Mention some reasons why Sri started her online shop.
4. Can the following information be inferred from the podcast? answer **Yes** or **No** for **each** statement.

Can this information be inferred from the podcast?	Yes	No
Sri is still saving her pocket money by placing it in a special rooster piggy bank		
La Ode ever illegally took some money from online purchasing		
Sri had two logical reasons why she kept using physical money		
The increasing number of people use electronic money had made Sri started her online shop		

5. Fill in the table by using the expressions of opinions from the podcast

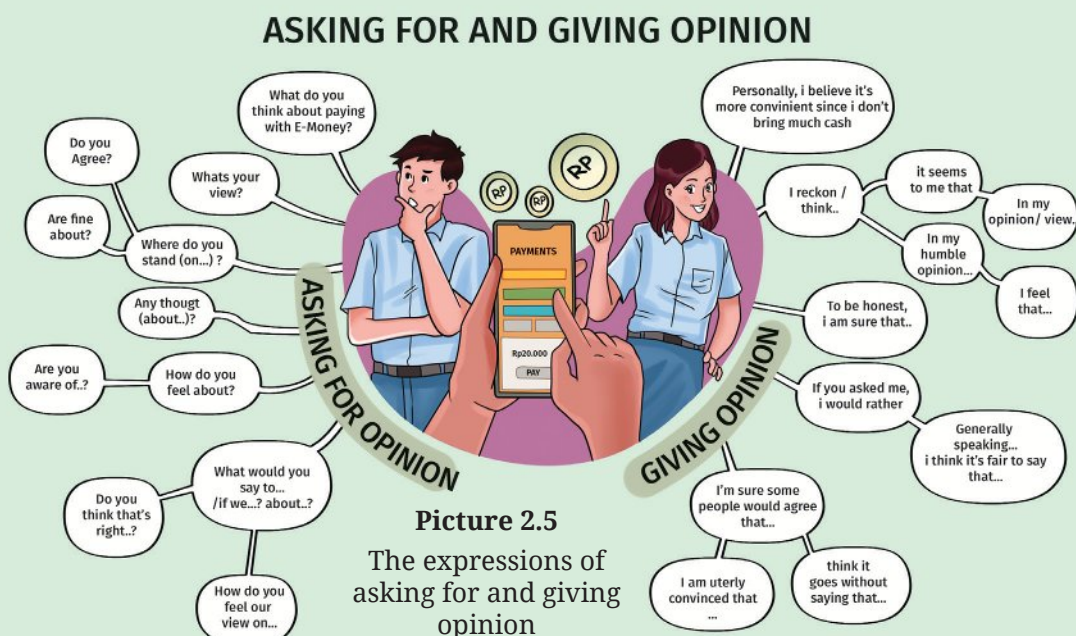
Asking opinions	Giving opinions
"So, what do you think about their habits?"	



Speaking

Activity 1

After listening to the podcast, you can categorize the expression of either asking for or giving opinions. Now, let's have a look at other expressions that you can use.





Then try to use the expression of giving opinions for these questions from the podcast in the listening section.

1. In your opinion, why did La Ode invite Sri to his podcast?
2. How do you feel about Sri's idea that money will remain a governing force in the lives of humans?
3. Do you agree with Sri's opinion 'So, to me, It is like living in a world where you get all the benefits of spending, without the pain of paying.'? Explain your reasons.
4. What is your view on those who want to make social media influencers as a profession?
5. Due to the pandemic, the use of cashless methods has become rapid. What is your thought on that?

Activity 2

Observe the two pictures carefully. The first picture is of people from Baduy dalam and the second one is Baduy luar.

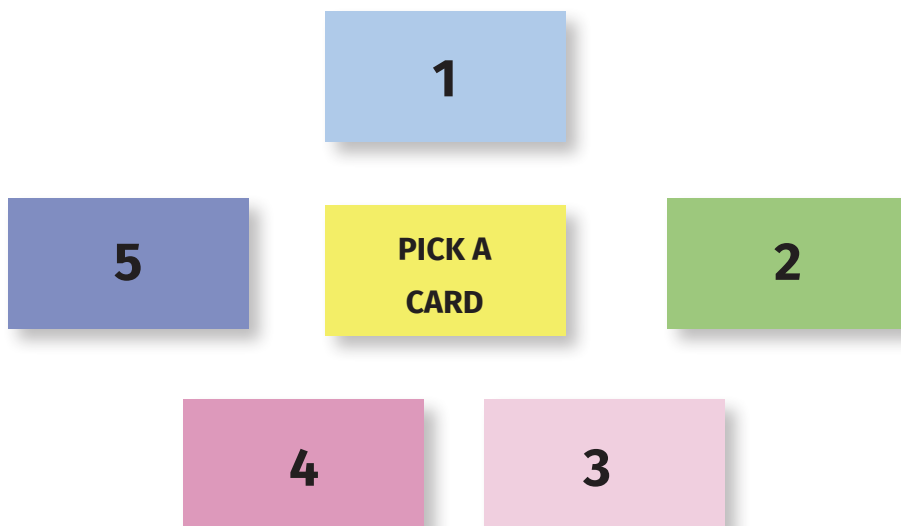


Picture 2.6 People of Baduy dalam



Picture 2.7 People of Baduy luar

Now you are going to pick a card! Your teacher will ask you a question based on the number you've chosen! Discuss it with your team and then take turns in sharing your thoughts by using the expression of Giving Opinion. Feel free to browse on the internet to get some ideas about people from Baduy dalam and Baduy luar.



Picture 2.8 Pick a card



Reading

Activity 1



You are going to read a text about e-money. Answer the questions below based on your experiences.

1. What do you know about e-money?.
2. Beside debit and credit cards, what other examples of e-money that you know?

After answering the two questions above, try to find out the meanings of the words, their word classes, as well as their example sentences in the box provided. Number 1 is an example.

No	Words	Meaning	Word Class	Example Sentences
1	Cashless	Tanpa uang	Adjective	In Indonesia, cashless payment tolling had been started since 2019
2	Bill			
3	Gambling			
4	Account			
5	Charity			
6	Transaction			
7	Currency			
8	Money Laundering			
9	Withdraw			
10	Interest			

Activity 2:

Read the text below.

What is the text about?



Cashless society:

What do we gain and lose when cash is no longer king?

(Adapted from: www.thebalance.com)

What do you think of a cashless world? A cashless world may sound like something out of science fiction, but it is on its way. Many modern financial processes and transactions are now taking place without the use of currency. To be more specific, a cashless society is one in which financial transactions are conducted without the usage of cash (including paper and coin currencies). Instead, all transactions are conducted electronically, with debit or credit cards or payment services.

Like two sides of a coin, a cashless society has its own advantages and weaknesses. The first advantage of cashless society is convenience. People do not need to carry cash when they want to make a transaction. Another advantage is that crime rates are lower. Carrying cash makes people a high-value target for thieves. It will be impossible to track their money or show that it is theirs once it has been removed from their wallet and placed in a criminal's wallet.

Similarly, in a cashless society, financial crime should disappear. Cash is commonly used in unlawful



activities, such as illegal gambling or drug trafficking, because there is no record of the transaction and the money is easier to launder. If the source of the money is unknown, money laundering becomes much more difficult. When every payment people get is recorded, it is more difficult to hide income and evade taxes.

Furthermore, going cashless is thought to be more than just handy. Printing bills and minting coins both cost money. Businesses must store money, obtain more when they run out, deposit cash when they have an excess of it, and in some situations, pay firms to transfer cash safely. To defend their branches from physical bank robberies, banks hire massive security teams. In a cashless future, wasting time and energy moving money around and protecting big sums of cash may become obsolete. People may need to exchange their dollars for local currencies while traveling. If people are traveling in a country that supports cashless transactions, though, they will not have to worry about how much local currency they will need. Instead, their mobile device takes care of everything.

Going cashless, on the other hand, may be more difficult than useful. First of all, electronic payments do not have the same level of privacy as cash payments.

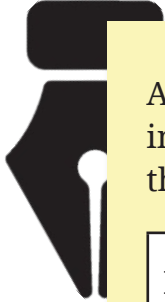


Hackers are the electronic equivalents of bank robbers and muggers. People are more vulnerable to hackers in a cashless culture. If people are targeted and their accounts are emptied, they may be left with no other options for spending money. Secondly, glitches, outages, and unintentional errors can all cause issues, leaving buyers unable to purchase items needed. Similarly, when systems fail, merchants are unable to take payments.

Finally, negative interest rates may have a more direct impact on consumers once all money is electronic. Negative interest rates, according to the International Monetary Fund, lower bank profitability, and banks may be motivated to raise costs on customers to make up the difference. Customers can easily withdraw their cash from the bank if they do not like the fees, therefore banks are constrained in their capacity to pass on those expenses. Customers may have to accept any additional fees if they are unable to withdraw cash from the bank in the future.

Cash currency is becoming less and less prevalent as a result of several technological and sociological shifts toward digital and virtual financial transactions. However, there are other potential negatives to a truly cashless society, and only time will tell whether cash has a unique place in society.

Activity 3



After you read the text above, classify these sentences into benefits or weaknesses of using e-money. Check (✓) the correct column.

NO	SENTENCES	BENEFITS	WEAKNESSES
1	Lower crime rates		
2	Digital transaction sacrifice privacy		
3	Easier international payment		
4	Easier transaction tracking		
5	Hacking risks		
6	Technology problems when accessing funds		
7	Economic inequality barrier		
8	Increase payment fee		
9	Cash management cost money		
10	Effect of negative interest to consumers		

Activity 4

Now it's time to explore the definition, schematic structures and language features of argumentative text.

Definition:

Argumentative text is a text that is used to persuade someone to do or not do something. Argumentative text expresses the reasons for an opinion, an idea, or a belief.

Schematic Structure of an argumentative text:

1. Thesis

It introduces the issue and the writers' point of view about the issue of the topic.

2. Arguments

They elaborate and provide several reasons to the readers about the writers' arguments in order to support the writers' point of view about the issue on the thesis statement.

3. Conclusion/ Reiteration

It presents the summary of all the arguments which have been elaborated before.

(Source: Derewianka, Beverly. 1990. *Exploring how text works. Primary English Teaching Association*)

Activity 5

Let's explore schematic structures and language features in the argumentative text entitled: "Cashless society: What do we gain and lose when cash is no longer king?"

Structure	Text	Language features
Thesis	What do you think of a cashless world ? A cashless world may sound like something out of science fiction , but it is on its way. Many modern financial processes and transactions are now taking place without the use of currency. To be more specific, a cashless society is one in which financial transactions are conducted without the usage of cash (including paper and coin currencies). Instead, all transactions are conducted electronically, with debit or credit cards or payment services .	abstract noun , for example: <i>payment, transaction</i> , etc. technical terms , for example: <i>cashless world, science fiction, financial processes, cashless society, paper and coin currencies, payment services, debit or credit cards</i> , etc. modal auxiliaries , for example: <i>A cashless world may sound like something out of science fiction</i> , etc.

Arguments

Similarly, in a **cashless society**, **financial crime should disappear**. Cash is commonly used in **unlawful activities**, such as **illegal gambling or drug trafficking**, because there is no record of the transaction and the money is easier to launder. If the source of the money is unknown, **money laundering** becomes much more difficult. When every payment people get is recorded, it is more difficult to hide income and evade **taxes**.

Furthermore, going cashless is thought to be more than just handy.

Printing bills and **minting coins** both cost money. Businesses must store money, obtain more when they run out, deposit cash when they have an excess of it, and in some situations, pay firms to transfer cash safely. To defend their branches from physical **bank robberies**, banks hire massive security teams.

action verb, for example: **exchange**, **travel**, etc.

technical terms, for example: *cashless world, science fiction, financial processes, cashless society, unlawful activities, illegal gambling, drug trafficking, transaction, money, money laundering, taxes, printing bill, minting coins, deposit cash, transfer, bank robberies, currencies, cashless transaction*, etc.

modal auxiliaries, for example: *In a cashless society, financial crime **should** disappear.*

*Businesses **must** store money*

In a cashless future, wasting time and energy moving money around and protecting big sums of cash may become obsolete. People may need to **exchange** their dollars for local **currencies** while traveling.

If people are **traveling** in a country that supports **cashless transactions**, though, **they will not have to worry about how much local currency they will need**. Instead, their mobile device takes care of everything.

*They **will** not have to worry about how much local currency they will need.*

Arguments

Going cashless, on the other hand, may be more difficult than useful. **First of all**, electronic payments do not have the same level of privacy as cash payments. Hackers are the electronic equivalents of bank robbers and muggers. People are more vulnerable to hackers in a cashless culture. If people are targeted and their accounts are emptied, they may be left with no other options for spending money.

Temporal connectives, for example:
*First of all,
Secondly,
Similarly, etc.*

Secondly, glitches, outages, and unintentional errors can all cause issues, leaving buyers unable to purchase items needed. **Similarly**, when systems fail, merchants are unable to take payments.

80.

Conclusion/ Re-iteration

Cash currency is becoming less and less prevalent as a result of several technological and sociological shifts toward digital and virtual financial transactions. However, there are other potential negatives to a truly cashless society, and only time will tell whether cash has a unique place in society.

abstract noun, for example: *shift, transaction*, etc.

present tense, for example: *Cash currency is becoming less and less prevalent, there are other potential negatives, cash has a unique place in society.*

technical terms, for example: *cash currency, digital and virtual transactions, potential negatives.*

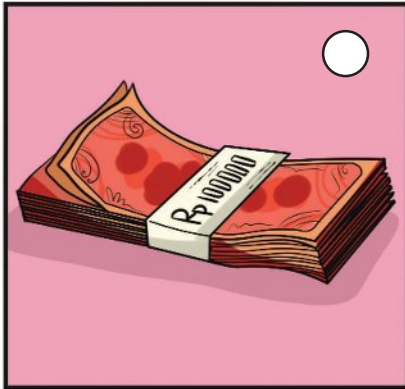


Viewing

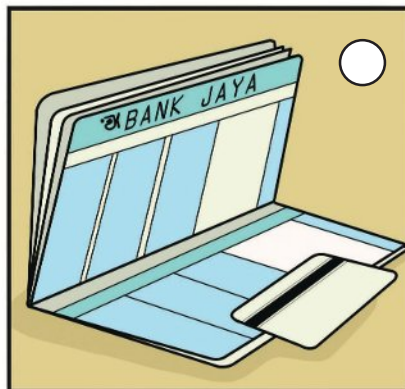
Activity 1

Connect the word/phrase with its example picture.

The list of words/phrases:



1. Bills (Noun)
2. Bank account (Noun phrase)
3. Physical cash (Noun phrase)
4. Mobile money platform (Noun phrase)
5. Receipt (Noun)



Activity 2

Watch and observe the first video entitled “Homemade Banking: E-money Services Emerge in Indonesia”. You may click on the following link: <https://youtu.be/XSEvyBf8Mz4> or you scan the barcode



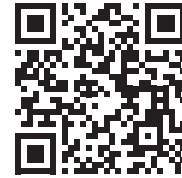
Then discuss the following issues concerning the video in pairs:

1. How popular is e-money in your community?
2. When do you usually use e-money?
3. What are the attitudes of the people you know towards e-money?
4. Do you have a bank account yourself? What is it commonly for?
5. How could branchless banking support e-money usage among the locals?



Activity 3

Watch the second video entitled “24 Hours with Digital Payment” in the link <https://youtu.be/EwqYnG66SA> or scan the barcode:



After watching the video, work in pairs to discuss whether the following phrases represent the uses of digital payment displayed in the video? Click **Yes** or **No** for each phrase.

No.	Could this phrase represent the uses of digital payment displayed in the video?	Yes	No
1.	Order food		
2.	Book a car mechanic		
3.	Order groceries		
4.	Book a ride		
5.	Book a travel package		
6.	Shop at e-commerce		
7.	Top up e-money		
8.	Scan for online donation		
9.	Book appointment for rapid test		
10.	Book cleaning service		

11.	Expand movie subscription		
12.	Pay for online concert		
13.	Pay for music subscription		
14.	Split bills with friends		
15.	Book the hotel		



Writing



Picture 2.9 School podcast

- Write a podcast about e-money in a group of 3 or 4
- Choose one of the following topics. You may also use your own topic.

1. The challenges of e-money
 2. The benefits of e-money
 3. The development of e-money and its impacts on social life
 4. E-money as a lifestyle.
- Share your roles in your group (one student acts as a presenter who asks for others' opinions and the others act as panelists who give their opinions about e-money).
 - Writing criteria: The podcast script you have created must not discuss the negative issues, hoax or persecution and hate speech.



Activity 2

- Refer to the writing components given by your teacher. (ideas, organization and expression).

Components	Yes (1)	No (0)	Score
Idea			
Organization			
- Thesis			
- Arguments			
- Recommendation			
Expressions			
- Asking for Opinion			

	Scan for online donation		
Giving Opinion			
			Total Score :

Activity 3

- Ask your friends from another group to do group review by exchanging the script.
- You are asked to review mostly on ideas and the expressions of asking for and giving opinion.
- Revise your script based on group feedback.

Activity 4

- Write your final podcast script



Presenting

- Start recording your podcast about e-money by using your cell phone and other recording tools.
- Check and re-check your recording.
- Record several times to ensure the content of the talk, smoothness, pronunciation and the expressions of asking for and giving opinion.
- You may share the link of your podcast in your social media and publish it.
- Other students and teachers comment on it.

PODCAST

WHAT IS PODCAST

Podcast is a radio program that is stored in a digital form that you can download from the internet and play on a computer or an mp3 player

<https://dictionary.cambridge.org/dictionary/english/podcast>

KIND OF PODCAST

- Interview Podcasts.
An interview podcast usually involves one or two hosts who speak with one or more guests each episode
- Conversational Podcasts
- Monologue Podcasts
- Storytelling/
Investigative Podcasts
- Roundtable Podcasts
- Theatrical Podcasts
- Repurposed Content Podcasts
- Hybrid Podcasts

<https://www.brafton.com/blog/video-marketing/types-of-podcasts/>

HOW TO START

1. Structure your show
2. Frame your episodes with an intro and outro
3. Decide on including an interview
4. Practice hosting skills
5. Upload your podcast to the internet

<https://www.google.com/search?q=how+to+make+your+first+podcast&oq>

Picture 2.10 Podcast infographic



Read the text carefully

E-payments – why, when and how to use them



Picture 2.11 About E-payments

Are you worried about giving out your credit or debit card details online? There is another option – an e-money account from a payment company which offers an e-payment account as a way to send and receive money online without needing your credit or debit card details. I am sure some people would agree that more people now



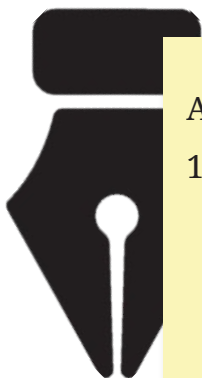
use e-payment companies because they can make it easier to transfer money and make purchases.

There are two main ways that e-payment accounts work. You either, first, pay money into your e-money account using a payment card (when you shop online the money is deducted from your balance – or if you’re selling things, it’s added to your balance), or link your e-money account to your payment card.

The first step is choosing which e-payment company to use. When you’ve chosen a company, most will ask you to: set up an account – register your details and follow the instructions. Next, connect a bank card – enter your credit or debit card details. When you’re registered, you’ll be able to pay for purchases using your new account details. It’s usually free to use e-payment services to buy things – although you might be charged for selling. These companies make their money by charging retailers. You might be charged for making or receiving payments in foreign currencies, or if you spend more money than you have access to.

Personally, I know that there are some drawbacks of using E-payment. E-payment companies aren’t protected by the Financial Services Compensation Scheme (FSCS). This means you might not get compensation if your e-payment company goes out of business. So, in my view, when choosing a provider, you need to check the service you’ll get and the protection it offers for your money so that you can use E-payment wisely.

adopted from: <https://www.moneyhelper.org.uk/en/everyday-money/banking/e-payments-why-when-and-how-to-use-them>



Answer the questions below

1. What is the writer's communicative purpose?
 - A. To inform readers about purchasing online using electronic money
 - B. To give readers an option using electronic money to buy online
 - C. To tell readers using e-money is easier than using debit card
 - D. To remind readers about why we need to use e-payment
 - E. To ask readers to purchase online using e-payment
2. Why does the writer believe that e-money providers are friendly users?
 - A. The writer has used e-payment account to transfer money and buy online
 - B. The writer knows two main ways of how the e-payment accounts work
 - C. E-payment account sends and receives money online with no debit card
 - D. Using e-payment services to buy things online is usually free of charge
 - E. When the writer shops online the money is deducted from his balance
3. Do you agree with the writer's opinion at the end of the paragraph? Please explain your answer by comparing your attitude to the text.

4. Could the following statements represent the reason why people want to shift using E-payment? Type Yes or No

Could the following statements represent the reason why people want to shift using E-payment?	Yes	No
You do not need to use credit or debit card for online transactions		
You can make online transactions easier than using debit card		
When you shop online, you need to pay using payment card		
The e-payment member charge is paid annually		
The e-payment service is no charge when you buy things		

5. If you are given an offer of using e-payment or debit card, what will be your decision? Using e-payment, debit card, or using both. Explain your answer according to the text.



Activity 1



You are going to read a text about using e-money. Before that, try to find the synonyms of the words in column A with the words found in the text in column B. Number 1 is an example.

NO	COLUMN A	COLUMN B
1	Money in coins or notes, as distinct from checks, money orders, or credit. (paragraph 1)	Cash
2	Not logical or reasonable. (paragraph 1)	
3	A distressing feeling often caused by intense or damaging stimuli (paragraph 1)	
4	The fact or process of losing something or someone (paragraph 1)	
5	A particular amount of money. (paragraph 1)	
6	A very large in size, quantity, or extent. (paragraph 2)	

7	An offer (a certain price) for something, especially at an auction. (paragraph 3)	
8	An inspiring respect and admiration; having high status. (paragraph 3)	
9	A greatly surprised (paragraph 4)	
10	Information about the rest amount of money in the saving account (paragraph 6)	

Activity 2

Read the text carefully, and then decide whether the statements below are true (T), false (F) or not mentioned (NM) in the text. Tick the correct answer in the column provided.

Does Spending Without Using Physical Cash Make People Spend More?

(www.bbc.com)

Does spending without using physical cash make people spend more? This is a complicated question and it involves seeing humans as fundamentally irrational creatures, in various ways. For instance, it has been shown psychologically that people feel more pain when they lose

£100 than the joy they feel on gaining £100. In other words, the pain of the loss stings more, even though the two sums are exactly the same.

This kind of psychological insight has powered enormous change in the field of economics. Whereas before, in classical economics, academics based their theories on the assumption that people behave rationally (so that the loss and gain of an equal sum would be treated the same by an individual), this was shown to be false by psychological studies. This led to the discipline of behavioral economics and branches such as consumer psychology.

One of the great researchers in this relatively new discipline is Drazen Prelec. The MIT professor once conducted a study that involved a silent auction. The auction was held for students at the prestigious Sloan business school, for tickets to sold-out NBA basketball games. The researchers told half the bidders they could pay only with cash, while the other half were told they could pay only with a credit card.

The results astonished the researchers. On average, it was found that the credit card buyers were bidding more than twice as much as the cash buyers. What this means, according to Prelec, is that the psychological cost of spending a dollar on a credit card is only 50 cents.

Spending on a credit card clearly has effects on how people spend, which numerous studies have borne out. However, it's also been shown that credit card bills, when they arrive, cause enormous pain for the receiver. So much so, in fact, that behavioral economists believe this explains the continuing popularity of debit cards.

But what about using e-wallets? What's important is feedback, explains Emir Efendic, a post-doctoral psychologist and behavioral economist at the University of Louvain. "With credit cards, you don't get instant updates. But with online banks, you see the amount deducted immediately," says Efendic. "If you lose feedback, then yes you'll be spending more".

No.	STATEMENTS	ANSWERS		
		T	F	NM
1	People feel more pain when they lose something than when they get something, even though the two sums are exactly the same.			
2	Drazen Prelec is a senior researcher at MIT			
3	During Prelec's research, there were more buyers who joined the bid by using cash			
4	Debit cards greatly affect how people spend their money.			
5	Spending on a credit card clearly has effects on how people spend			
6	The participants of Prof Prelec's research were the last semester students at the prestigious Sloan business school			

7	People are usually pleased when the credit card bills arrive			
8	People get instant feedback when using credit cards			
9	By using online bank, people can notice instantly that the amount of money they have is decreased			
10	People who lose feedback after payment will spend more money			

Reflection



Answer the questions for your reflection after you learn Unit 2 Argumentative text on e-money. (You can answer by clicking the link digitally shared by your teacher or write the answer on a piece of paper)



Questions

1. What are the pros and cons of using e-money?
2. In what situations will you use e-money?
3. When do you think it is best not to use it?
4. What is the benefit of learning the argumentative text on e-money for your life?